

FinTrust Digital Bank

Week 3 – Part 6: Management Recommendations

Evidence-based recommendations developed from the validated Week 3 analysis

1. Purpose of Part F

Part F translates the validated analytical findings into practical management actions. Each recommendation follows the required structure: Finding → Evidence → Business Implication → Recommended Action. The recommendations are limited to what is supported by the FinTrust SQL, Python and Power BI analyses and avoid treating the synthetic Risk_Review_Flag as confirmed fraud.

2. Management Recommendations

1. Strengthen monthly performance monitoring

Finding	Transaction activity declined in February and recovered strongly in March.
Evidence	Transactions fell from 4,133 in January to 3,734 in February (-9.65%), while transaction value declined by 6.74%. March recovered to 4,133 transactions and approximately NGN 196.20 million in transaction value.
Business Implication	Monthly totals can change noticeably even within a short period. Without regular trend monitoring, management may miss emerging declines or fail to identify which channels, transaction types or customer groups are driving changes.
Recommended Action	Introduce a regular month-over-month performance review in the BI dashboard. When a material decline occurs, investigate the movement by channel, transaction type and customer segment before deciding on operational action.

2. Apply greater review attention to high-value transactions

Finding	Risk-review rates increase substantially as transaction values rise.
Evidence	Transactions of NGN 200,000 and above had a 40.54% risk-review rate, compared with approximately 17–22% in the lower amount bands. The top 10% highest-value transactions had a 36.00% risk-review rate versus 17.78% for the remaining 90%.
Business Implication	Higher-value transactions are much more likely to be selected for review, which may create greater review workload and operational exposure around higher-value activity.
Recommended Action	Maintain a tiered review approach that gives additional attention to high-value transactions, particularly transactions of NGN 200,000 and above. Review thresholds should be periodically validated to avoid unnecessary reviews. The Risk_Review_Flag should not be interpreted as confirmed fraud.

3. Prioritize failure investigations using both failure rate and transaction volume

Finding	Failure rates vary considerably by channel and transaction type.
Evidence	POS Bill Payment recorded the highest failure rate at 7.22%, followed by USSD Transfer at 7.20%. However, Mobile App Transfer produced 93 failed transactions because of its much higher transaction volume.
Business Implication	Looking only at failure percentage can overlook high-volume services that generate more failed transactions in absolute terms. Both failure propensity and operational impact matter.
Recommended Action	Monitor both failure rate and failure count. Investigate POS Bill Payments and USSD Transfers for elevated failure propensity while also prioritizing high-volume combinations such as Mobile App Transfers where absolute failed transaction counts are larger.

4. Manage customer segments using normalized KPIs as well as totals

Finding	The largest customer segment is not necessarily the strongest on a per-customer basis.
Evidence	Everyday customers generated the highest overall activity because they were the largest segment. After normalization, SME customers generated the highest transaction value per customer at approximately NGN 387,923.02, while Student customers had the highest transaction frequency at 8.23 transactions per customer.
Business Implication	Management decisions based only on total transactions or total transaction value may favor larger segments and hide the relative contribution of smaller customer groups.
Recommended Action	Include transaction value per customer and transactions per customer in regular segment reporting. Use segment-specific strategies, such as protecting the high per-customer value generated by SME customers while further investigating the high transaction frequency of Student customers.

3. Management Recommendation Summary

The recommendations focus on improving performance monitoring, strengthening risk-review prioritization, reducing transaction failures, understanding digital customer behaviour and evaluating customer segments using normalized measures. **Each recommendation is directly linked to evidence produced and validated through the Week 3 SQL, Python and Power BI analyses.**